CITY OF ALDER CROSSING

Office of Economic Development
12 Granite Way, Alder Crossing · Tamarack County

MEMORANDUM

For: City Council

Prepared by: Economic Development Director

Dated: August 19, 2025

About: Quarry Row assessment freeze request

A. What is being asked

Quarry Row Homes LP has asked the City to freeze the taxable value of the former quarry parcel for ten years.

The parcel is the former Tamarack quarry on Granite Way. The applicant plans one building of ninety apartments with ground-floor shops.

B. Term sheet received from the applicant

The applicant sent the term sheet below on August 4, 2025. It is an offer and has not been negotiated.

Item	What the applicant offers
Homes set aside	Eighteen of the ninety apartments would be reserved for lower-income renters.
Who qualifies	Households earning no more than sixty percent of area median income would qualify.
Rent ceiling	Rent plus utilities would be capped at thirty percent of the qualifying income.
How long	The restrictions would run through December 31, 2055.

C. What the term sheet leaves open

The applicant has not said who would check tenant incomes each year.

The term sheet is silent on what happens if the building is sold.

D. Cost to the City

The Finance Office estimates the freeze would lower City revenue by about $118,000 a year once the building is finished.

E. Staff view

Staff recommends that the Council grant the assessment freeze only if the set-aside is written into a recorded agreement.

Economic Development Director
Copies: City Manager, City Attorney, Finance Office